

investors no longer feel bitcoin has any speculative value left, and instead its price is only supported by current utility value. With only utility value left, then there is no reason for the investor to continue to hold the asset as it has reached its maximum potential and is unlikely to appreciate any further. To perform the calculation that may lead an investor to believe bitcoin's maximum value has been reached, we need to introduce two more concepts: the velocity of money and discounting.

Velocity in the Context of Valuation

The concept of velocity is a necessary tool in understanding the opportunity that exists for bitcoin's value to increase as it fills more needs around the world. Velocity is used to explain the turnover of fiat currencies, and is described succinctly by the Federal Reserve Bank of St. Louis:

The velocity of money is the frequency at which one unit of currency is used to purchase domestically-produced goods and services within a given time period. In other words, it is the number of times one dollar is spent to buy goods and services per unit of time. If the velocity of money is increasing, then more transactions are occurring between individuals in an economy.¹¹

The velocity of a currency is calculated by dividing the Gross Domestic Product (GDP) for a certain period by the total money supply. For example, if the GDP is \$20 trillion, but there are only \$5 trillion worth of dollars available, then that money needs to turn over four times, or have a velocity of four, in order to meet demand on any given year. Currently, the velocity of the USD is a little north of 5.¹²